

Japan Consumer and Semiconductors

Physical AI meets the convenience store – from retail king to AI testbed: why SoftBank, KDDI, Itochu, and Mitsubishi all want in



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Last Friday, SoftBank Corp (9434.JP, not covered, consolidated by SoftBank Group) came shopping for convenience stores — and the real story is bigger than retail.

SoftBank, PayPay and Sumitomo Mitsui Card are reportedly in talks to invest up to ¥300bn (US\$1.9bn) in Seven & i, operator of the world's largest convenience-store network ([link](#)). On its face, a telco buying into a mature retailer.

Look closer, and a different question emerges: where does AI actually prove it can do physical work? Not in a demo video, not in a data center — but somewhere with millions of daily transactions, chronic labor shortage, and thousands of identical floor plans on which an experiment can repeat itself. Japan's convenience stores are arguably the best such laboratory on earth: ~55,000 stores, tens of millions of visits a day, and an industry so starved of workers that automation is not a choice but a survival condition. That is why every deal of the past six years — Itochu×FamilyMart, Mitsubishi/KDDI×Lawson, and now the SoftBank coalition×Seven — has brought outside capital into a format everyone agrees is past its prime.

The format war has been decided — and yet ¥1.4tn (c. US\$9bn) has flowed to the losing side. CVS stagnation is structural: real sales flat for a decade, a 36.2-point fault line between the unit-price index (123.7) and the traffic index (87.5), a store network at its ~55,000 ceiling, and the overworked salaryman — the customer who bought time with money — going extinct as a demographic. Capital keeps coming anyway, because what is being bought is not the format but the network: the last physical piece of the economic zone, spanning supply chains (Itochu makes its money through FamilyMart's, not in it), payments traffic, finance (Seven Bank's ATM corner outearns the store around it, roughly 40x per square meter), and retail media (a ¥1.3tn / US\$8.4bn market by 2029).

And on that network, the story stops being about retail. For SoftBank Group, this is the missing bottom layer of the Physical AI stack Masayoshi Son has been assembling. SoftBank Group has invested in the full stack of AI, including infra, model, chip, and physical AI — but the physical AI portion still lacked the one place where AI meets the physical world daily, at scale, and gets graded. Japan's convenience stores are that place: a deployment field, a data engine, and the source of the most every day, falsifiable receipts for the thesis that AI rewrites every industry. Our conclusion: a losing format, a contested network — and survival decided by the execution that carries AI from showcase to chain-wide core systems. **Plenty of investors read AI's future in data centers. Part of the answer sits on the shelf of the nearest convenience store...**

We rate Seven & i Market-Perform; we remain Outperform on SoftBank Group on our constructive view of AI.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	13 Jul 2026	Price	TTM	Reported EPS				Reported P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
3382.JP (Seven & I)	M	JPY	2,013.00	2,100.00	(56.1)%	JPY	118.81	121.70	123.48	16.9	16.5	16.3
OLD								114.52	121.55			
8267.JP (Aeon)	U	JPY	1,403.50	1,100.00	(50.7)%	JPY	26.87	28.30	35.57	52.2	49.6	39.5
OLD								26.79	33.80			
7532.JP (PPIH)	O	JPY	872.70	1,100.00	(58.9)%	JPY	30.33	38.40	41.93	28.8	22.7	20.8
9984.JP (SoftBank)	O	JPY	6,364.00	11,200	94.3%	JPY	872.47	282.49	159.10	7.3	22.5	40.0
JPL			2,639.99									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

9984.JP estimate is Adjusted EPS; 9984.JP valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate PPIH **Outperform** with PT= **¥1,100.00**.

We rate Aeon **Underperform** with PT= **¥1,100.00**.

We rate Seven & i **Market-Perform** with PT= **¥2,100.00**.

We rate SoftBank Group **Outperform** with PT = **¥11,200**.

Related Research

[Quick Take: SoftBank considers purchase of stake in Seven & I Holdings](#)

[Seven & I Holdings Q1: Fuel does the heavy lifting, stores inch forward](#)

[Japan Retail \(3\): Silver tsunami and cheap groceries - how drugstores became Japan's other discounter and GMS is falling](#)

[Japan Retail \(2\): From supermarket routine to discounter reality](#)

[Japan Retail \(1\): After the Long Winter, Japan Domestic Retail at an Inflection Point](#)

[Initiation Japan Consumer - The Devil wears Uniqlo: AI, savvy consumers, and the end of Hype](#)

[Global Semis: The CPU Renaissance? Beneficiaries of a \\$223bn TAM...](#)

[SoftBank, Arm: From GenAI to Agentic AI; Initiating with Outperform Ratings](#)

VALUATION COMPS TABLE

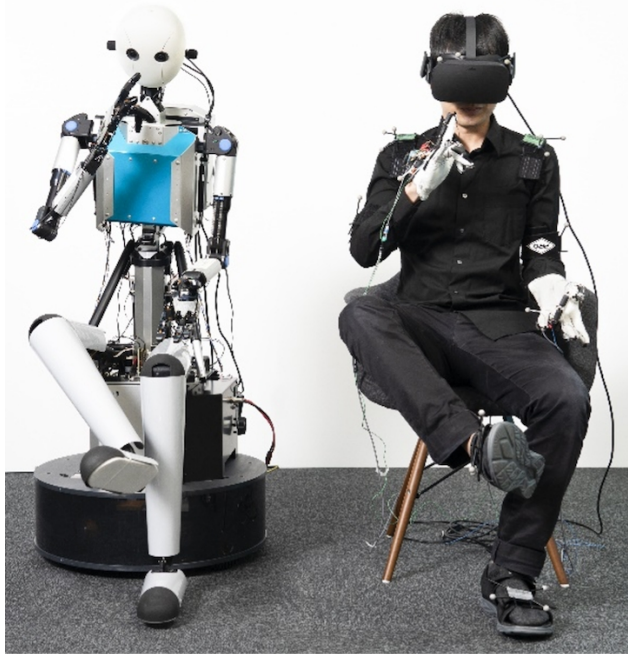
EXHIBIT 1: Valuation Comps

	Mkt Cap		EV		P/E			P/B			EV/EBITDA			ROE			PEG	EPS Growth	OPM	Div. Yld.	
	(USD mn)	(USD mn)	LTM	1BF	2BF	LTM	1BF	2BF	LTM	1BF	2BF	LTM	1BF	2BF	FY25-FY27	FY25-FY27	1BF	LTM	1BF	2BF	
Fast Retailing	161,780	153,693	48.5x	45.1x	39.8x	9.2x	8.7x	7.7x	26.5x	23.7x	21.4x	21.5%	20.5%	20.1%	2.2x	20.9%	18.6%	0.7%	0.8%	1.0%	
Ryohin Keikaku	12,597	12,194	29.2x	26.6x	23.5x	4.8x	4.5x	4.0x	14.9x	13.8x	12.6x	18.4%	18.7%	18.5%	1.0x	26.9%	10.9%	0.8%	0.8%	1.0%	
Japanese Apparel Retailers			38.8x	35.8x	31.6x	7.0x	6.6x	5.8x	20.7x	18.8x	17.0x	19.9%	19.6%	19.3%	1.6x	23.9%	14.8%	0.8%	0.9%	0.9%	
Asics	20,823	20,926	28.7x	24.6x	21.5x	10.3x	8.4x	6.8x	18.1x	14.8x	13.3x	41.0%	39.3%	35.9%	1.0x	24.2%	18.7%	0.7%	0.9%	0.9%	
Mizuno	1,735	1,616	14.7x	13.8x	12.8x	1.5x	1.4x	1.4x	9.9x	9.0x	8.5x	11.1%	10.8%	11.0%	1.9x	7.2%	9.0%	1.7%	1.9%	1.9%	
Yonex	1,406	1,308	17.3x	15.2x	13.9x	2.6x	2.3x	2.0x	10.5x	9.6x	9.7x	16.2%	15.4%	14.9%	1.3x	11.7%	10.2%	1.0%	1.0%	1.2%	
Japanese Sportswear			20.2x	17.9x	16.0x	4.8x	4.0x	3.4x	12.8x	11.2x	10.5x	22.8%	21.8%	20.6%	1.4x	14.4%	12.7%	1.2%	1.3%	1.3%	
Food & Life	6,908	7,944	37.8x	30.1x	25.5x	9.5x	7.2x	6.0x	15.3x	12.5x	10.9x	28.8%	27.5%	26.0%	0.8x	36.5%	10.0%	0.4%	0.5%	0.5%	
Kura	815	1,054	36.3x	35.7x	31.7x	1.9x	2.0x	1.9x	10.6x	10.2x	9.9x	5.4%	5.3%	5.7%	7.0x	5.1%	2.2%	0.6%	0.9%	0.9%	
Saizeriya	1,825	1,584	22.8x	19.4x	17.1x	2.2x	2.0x	1.8x	7.0x	7.1x	6.6x	10.1%	11.0%	11.3%	1.0x	20.3%	6.7%	0.5%	0.6%	0.6%	
Zensho	8,751	10,318	31.9x	25.9x	22.7x	4.0x	3.9x	3.5x	12.3x	10.6x	9.6x	14.9%	14.7%	15.3%	n.a	n.a	6.9%	0.9%	1.0%	1.0%	
Monogatari	1,210	1,224	25.4x	21.7x	19.2x	4.3x	3.6x	3.1x	11.4x	10.4x	9.3x	18.3%	17.3%	17.2%	0.8x	26.3%	7.6%	0.8%	0.9%	0.9%	
Skyark	4,079	4,658	36.8x	31.4x	28.9x	3.5x	3.1x	2.9x	8.9x	8.3x	7.9x	9.8%	10.5%	10.6%	1.9x	16.6%	7.1%	0.8%	1.0%	1.0%	
Ohsho	1,171	1,037	20.7x	21.8x	20.8x	2.4x	2.2x	2.1x	12.3x	-	-	10.7%	10.2%	10.2%	n.a	n.a	8.6%	1.9%	1.9%	1.9%	
Japan Food Services			30.2x	26.6x	23.7x	4.0x	3.4x	3.0x	11.1x	9.9x	9.0x	14.0%	13.8%	13.8%	2.3x	21.0%	7.0%	0.9%	1.0%	1.0%	
PIPH	16,729	18,268	23.4x	20.9x	19.4x	3.7x	3.2x	2.9x	13.2x	12.2x	11.5x	16.9%	16.4%	15.7%	1.0x	20.3%	7.3%	1.0%	1.0%	1.1%	
Aeon	39,470	54,584	44.5x	35.9x	31.1x	3.1x	3.0x	2.7x	9.4x	8.8x	8.3x	8.4%	7.5%	7.7%	2.3x	19.4%	2.9%	1.0%	1.1%	1.1%	
Seven and I	32,599	52,690	15.9x	16.8x	16.0x	1.3x	1.3x	1.2x	8.8x	9.7x	9.5x	8.2%	7.5%	7.7%	5.3x	3.2%	4.2%	2.5%	3.0%	3.0%	
Trial	2,312	4,386	40.0x	33.0x	21.1x	2.8x	2.5x	2.2x	11.1x	9.8x	8.9x	7.3%	8.9%	12.2%	1.5x	22.5%	2.7%	0.5%	0.5%	0.5%	
Izumii	1,306	1,981	12.4x	11.1x	10.4x	0.7x	0.7x	0.6x	6.6x	6.5x	6.2x	5.8%	6.0%	6.2%	n.a.	n.a.	4.8%	3.1%	3.1%	3.1%	
Kobe Bussan	4,469	3,785	17.1x	17.9x	16.5x	3.4x	3.0x	2.6x	12.7x	11.4x	10.5x	21.7%	17.7%	16.6%	3.4x	5.3%	7.5%	1.1%	1.3%	1.3%	
Life Corp	1,359	1,350	11.5x	10.9x	10.5x	1.3x	1.2x	1.1x	5.2x	4.9x	4.7x	12.3%	11.6%	11.0%	n.a.	n.a.	2.9%	2.7%	2.9%	2.9%	
Cosmos Pharmaceutical	3,151	3,274	16.1x	15.3x	14.3x	1.8x	1.6x	1.5x	8.2x	7.4x	7.0x	12.0%	11.1%	10.8%	2.3x	6.6%	3.7%	1.2%	1.3%	1.3%	
Matsukiyoocokara	6,087	5,374	17.3x	15.6x	14.7x	1.8x	1.7x	1.5x	8.0x	7.7x	7.3x	10.5%	10.9%	10.9%	1.9x	8.4%	7.7%	2.1%	2.4%	2.4%	
Sundrug	2,807	2,673	14.2x	12.8x	12.1x	1.6x	1.4x	1.4x	6.6x	6.0x	5.7x	11.3%	11.5%	11.4%	1.6x	8.0%	5.7%	3.4%	3.7%	3.7%	
Sugi	3,437	3,241	17.2x	15.6x	14.2x	1.8x	1.6x	1.5x	7.5x	6.8x	6.2x	10.9%	11.0%	11.2%	-1.8x	-8.9%	4.8%	1.2%	1.3%	1.3%	
Kusuri no aoki	2,179	2,742	20.8x	17.9x	16.3x	2.5x	2.3x	2.1x	10.3x	10.1x	9.5x	11.9%	13.1%	13.4%	1.4x	13.1%	4.3%	1.5%	1.7%	1.7%	
Japanese Grocery Retailers			20.6x	19.4x	16.8x	2.2x	1.9x	1.8x	9.0x	8.4x	8.0x	11.4%	11.0%	11.3%	1.9x	9.8%	4.9%	1.8%	2.0%	2.0%	
Inditex*	195,786	190,350	27.2x	24.1x	22.1x	9.0x	7.8x	7.2x	14.6x	13.3x	12.4x	34.0%	32.5%	33.4%	2.1x	11.5%	20.5%	3.1%	3.4%	3.4%	
H&M*	27,512	33,547	21.6x	20.0x	18.7x	7.8x	6.2x	5.9x	8.5x	8.0x	7.7x	34.9%	31.8%	33.3%	2.4x	8.2%	8.7%	4.2%	4.5%	4.5%	
Europe Apparel Retailers			24.4x	22.1x	20.4x	8.4x	7.9x	6.5x	11.5x	10.7x	10.1x	34.4%	32.1%	33.4%	2.3x	9.9%	14.6%	3.7%	4.0%	4.0%	
Adidas*	37,342	43,084	23.5x	16.9x	14.1x	5.3x	4.8x	4.2x	11.5x	9.8x	8.7x	23.8%	27.6%	28.9%	0.5x	30.9%	9.7%	1.5%	2.3%	2.3%	
Puma*	4,767	7,079	-	-	34.8x	2.2x	2.6x	2.4x	-	13.7x	9.1x	-27.4%	-5.5%	5.6%	-	-	1.2%	-	0.3%	-	
Europe Sportswear			23.5x	16.9x	24.4x	3.8x	3.7x	3.3x	11.5x	11.7x	8.9x	-1.8%	11.0%	17.2%	0.5x	0.3x	5.5%	2.6%	1.3%	1.3%	
Compass Group*	54,856	63,589	27.1x	20.3x	18.4x	6.9x	5.7x	5.0x	14.2x	11.6x	10.7x	27.1%	29.1%	29.0%	0.8x	26.2%	7.5%	2.1%	2.5%	2.5%	
Elior*	584	1,925	7.9x	7.6x	5.5x	0.6x	0.6x	0.5x	5.5x	4.6x	4.2x	7.9%	6.8%	9.3%	2.2x	3.5%	2.9%	2.0%	3.1%	3.1%	
AmRest	620	2,338	61.5x	12.8x	12.6x	1.5x	1.3x	-	5.2x	4.6x	4.6x	2.4%	12.7%	-	0.2x	67.8%	5.8%	2.7%	-	-	
Europe Food Services			17.5x	13.6x	12.2x	3.0x	2.5x	2.8x	8.3x	6.9x	6.5x	12.4%	16.2%	19.1%	1.1x	0.3x	5.4%	2.4%	2.8%	2.8%	
Carrefour*	13,878	25,165	12.2x	9.2x	8.5x	1.1x	1.1x	1.1x	5.0x	4.7x	4.5x	2.9%	10.8%	11.2%	0.1x	103.2%	2.9%	5.9%	6.3%	6.3%	
Tesco*	39,663	54,294	17.2x	14.7x	13.8x	2.6x	2.5x	2.4x	8.3x	7.8x	7.6x	15.5%	17.3%	17.8%	1.3x	11.7%	4.4%	3.1%	3.4%	3.4%	
Europe Grocery Retailers			14.7x	11.9x	11.1x	1.8x	1.8x	1.8x	6.6x	6.3x	6.0x	9.2%	14.0%	14.5%	0.7x	0.1x	3.6%	3.8%	4.9%	4.9%	
Gap	7,005	10,086	7.7x	7.8x	7.2x	1.9x	1.7x	1.5x	5.6x	3.5x	3.3x	27.6%	23.2%	23.1%	0.7x	11.1%	7.7%	3.5%	3.6%	3.6%	
Abercrombie & Fitch Co.	4,135	4,822	7.9x	8.4x	7.7x	3.1x	2.4x	1.9x	4.1x	4.2x	4.1x	39.0%	32.2%	31.2%	1.3x	6.6%	12.1%	-	-	-	
American Eagle Outfitters	2,817	4,587	8.2x	9.1x	8.2x	1.7x	1.3x	1.1x	8.2x	4.4x	4.0x	18.0%	16.9%	17.0%	0.3x	35.6%	7.0%	3.0%	3.0%	3.0%	
Ralph Lauren	23,503	24,447	23.2x	21.2x	19.2x	8.4x	6.7x	5.7x	17.3x	13.2x	12.3x	34.7%	33.8%	31.3%	1.4x	15.5%	16.8%	0.9%	1.0%	1.0%	
U.S. Apparel Retailers			11.7x	11.6x	10.6x	3.8x	3.0x	2.6x	8.8x	6.3x	5.9x	29.8%	26.5%	25.6%	0.9x	17.2%	10.9%	2.0%	2.5%	2.5%	
Nike*	65,707	67,713	21.2x	24.4x	19.4x	4.4x	4.5x	4.3x	-	16.3x	13.6x	22.1%	16.9%	21.3%	5.5x	4.5%	7.1%	3.7%	3.8%	3.8%	
Lululemon*	13,542	14,164	9.6x	10.7x	10.0x	3.0x	2.4x	2.1x	5.5x	5.2x	5.0x	32.0%	23.0%	21.1%	-2.0x	-5.3%	15.8%	-	-	-	
Under Armour	2,872	4,502	67.6x	45.4x	25.0x	2.0x	1.9x	1.7x	45.6x	14.0x	11.8x	-30.0%	4.0%	7.4%	-	-	3.2%	-	-	-	
Amer Sports	20,232	20,561	37.8x	25.0x	20.1x	3.0x	2.6x	2.5x	-	12.5x	10.6x	7.6%	12.3%	13.1%	0.5x	50.1%	14.2%	-	-	-	
On Holdings*	12,847	12,564	37.0x	20.2x	16.4x	5.2x	4.3x	3.4x	18.4x	12.9x	10.5x	15.5%	22.3%	21.8%	0.3x	66.8%	15.5%	-	-	-	
Deckers*	14,720	13,188	15.0x	13.7x	12.3x	5.9x	4.9x	4.0x	9.8x	9.3x	8.6x	40.9%	38.0%	37.0%	1.3x	10.5%	21.7%	-	-	-	
U.S. Sportswear			24.1x	23.3x	17.2x	3.9x	3.4x	3.0x	19.8x	11.7x	10.0x	14.7%	19.4%	20.3%	1.1x	25.3%	12.9%	3.7%	n.a.	n.a.	
McDonalds*	195,105	248,816	22.2x	20.2x	18.6x	-	116.6x	41.7x	16.7x	14.4x	13.5x	-	-349.8%	144.3%	1.8x	11.0%	47.5%	2.7%	2.8%	2.8%	
Chipotle*	45,216	49,591	31.6x	28.3x	24.1x	18.8x	13.9x	12.3x	22.3x	17.9x	15.7x	49.2%	56.9%	59.7%	2.2x	12.8%	15.1%	-	-	-	
Darden*	23,394	29,228	19.1x	17.9x	16.3x	10.6x	9.8x	9.0x	13.6x	11.1x	10.4x	53.4%	55.2%	56.3%	1.9x	9.4%	12.3%	3.0%	3.2%	3.2%	
U.S. Food Services			24.3x	22.1x	19.7x	14.7x	11.9x	10.6x	17.5x	14.5x	13.2x	49.2%	n.a.	n.a.	2.0x	11.1%	24.9%	3.1%	3.0%	3.0%	
Walmart*	906,425	976,520	42.2x	36.8x	32.9x	9.6x	8.1x	7.3x	21.8x	18.8x	17.2x	25.5%	22.1%	22.8%	3.0x	12.4%	4.6%	0.8%	0.9%	0.9.	

DETAILS

- **The "growth" of Japan's CVS is an illusion.** Real sales have been flat for a decade; the unit-price index stands at 123.7 against a traffic index of 87.5 — price hikes have merely papered over shrinking footfall, and the visit habit itself is eroding. The store network has hit its physical ceiling at ~55,000, and the core customer — the overworked salaryman — is going demographically extinct as the commuter economy collapses
- **Into that losing format, ¥1.4tn (c. US\$9bn) has flowed.** Itochu's full acquisition of FamilyMart, c. ¥580bn (US\$3.7bn, 2020); Mitsubishi/KDDI×Lawson, c. ¥500bn (US\$3.2bn, 2024); and now the SoftBank coalition×Seven, up to ¥300bn (US\$1.9bn, 2026, in talks). Every buyer came from outside retail — trading houses, telecom, payments, and now AI. What they are buying is not format growth. It is the network
- **The network has four faces. (1) Supply chain:** Itochu's ¥65.1bn (US\$420mn) of profit from FamilyMart itself is the tip of the iceberg — the trading houses use CVS as the lever to lock up the supply-chain profit pool for stable earnings. **(2) Telecom-payments:** "Ponta Pass," the membership program with which KDDI wired its subscriber base directly into Lawson, lifted enrollment 1.6x and coupon usage 3x after relaunch — and measurably lifted daily sales. **(3) Finance:** Seven Bank's ATM fees are roughly 90% of revenue, with profit per square meter roughly 40x that of a store. **(4) Data:** FamilyMart's 10,000-store signage network is profitable at both operating entities, and Japan's retail-media market is forecast to double to ¥1.3tn (US\$8.4bn) by 2029
- **The SoftBank coalition wants to paint the same picture, larger — but not on a blank canvas.** Wiring PayPay's 74mn registered users into Seven's 22,000 domestic stores dwarfs the two precedents in scale; but Seven carries its own payments legacy: the e-money nanaco (issued by Seven since 2007, tens of millions of members, marginalized in the QR era) and the memory of the 7pay failure. How to integrate the existing nanaco/Seven Mile economy with the PayPay/V-point economy — running parallel point schemes is a cost; forced migration is a churn risk. That integration design is the challenge unique to this deal, absent from both precedents
- **The AI that works is unglamorous — but the network's real value lies in training data.** The only proven profit contribution is Lawson's chain-wide AI ordering system "AI.CO" (said to have lifted same-store gross profit by c. ¥7bn / US\$45mn a year), while futuristic stores remain at the pilot stage. Meanwhile, Telexistence — the teleoperation-based robotics company — has stocking robots deployed across all three major chains and has logged **more than 30,000 hours of real-store teleoperation data**; this June it published a demonstration of a humanoid bagging items at a register on a single VLA model, with zero human intervention. Seven×Telexistence now connects that data engine to 20,000 stores of real-world environment, targeting store deployment of the humanoid "Astra" in 2029
- **Full automation is dead.** Amazon Go closed all 72 stores (January 2026); China's unmanned-store wave collapsed from a 5,000-store vision to a 400-store peak. What pays is not automating the experience but selectively replacing labor — and with 61% of franchisees reporting labor shortages, Japan's convenience stores are the country's largest testing environment for whether AI can rewrite labor in the physical world
- **And this laboratory is the missing bottom layer of SoftBank's Physical AI stack.** SoftBank Group has invested in the full stack of AI, including infra, model, chip, and robotics; the vertical integration includes ABB robotics (\$5.4n), Arm (\$32bn; worth north of \$300bn now), Ampere (\$6.5bn), Graphcore (transaction value not disclosed), and a cumulative c. \$65bn committed to OpenAI — but the stack lacked the one place where all of it meets the physical world daily, at scale, and gets graded. Seven's 22,000 stores are a deployment field, a data engine, and the source of the most everyday, falsifiable evidence for the thesis that AI rewrites every industry — and for a stock that trades on the credibility of a vision, those receipts matter.
- **Execution decides everything.** A losing format, a contested network — the battleground for survival is whether AI implementation reaches chain-wide penetration of core systems, rather than stopping at showcases
- **Three camps, three survival strategies — the board is now set.** FamilyMart, wholly owned by Itochu and partnered with Docomo on data; Lawson, jointly run by Mitsubishi and KDDI in pursuit of telecom-retail fusion; and Seven & i, weighing the SoftBank coalition as an anchor shareholder to escape an exhausted, old-school convenience model — in a declining format, each is searching for its own way out
- Seven & i: Market-Perform / SoftBank Group: Outperform

EXHIBIT 2: Telexistence's teleoperation – humans guiding robots remotely – is the groundwork for filling Japan's labor gap



Source: Company Website

EXHIBIT 3: 98%+ autonomous, human hands only on failure: Seven & i's partner, telexistence's AI-controlled robot restocks beverages in CVS backyards, replacing labor at store



Source: Company Website

CONVENIENCE STORES - TOWARD A STRUCTURAL TURNING POINT

The Japanese convenience store has entered the final chapter of a long growth story. Throughout the deflation era, the CVS refined its distinctive Galápagos model of high density and high efficiency into something close to an art form, elevating 24-hour accessibility and a ubiquitous network into social infrastructure, and stood as the undisputed growth engine of domestic retail. But decades of aggressive expansion have ended, and the industry is now moving into a phase of maturity and defense. The transition is visible at the intersection of several structural indicators.

The first indicator is the widening gap between the appearance of top-line growth and its underlying reality. Indexed to 2015 = 100, nominal sales have climbed to around 115 via price hikes (Exhibit 4), while real sales (inflation-adjusted) peaked in 2019 and have since flatlined near 105. Headline numbers suggest a healthy market, but recent "growth" has been driven almost entirely by the pricing lever rather than by organic customer volume. We call this the Inflationary Gap. The wider the nominal-real divergence grows, the less sustainable this "growth" becomes.

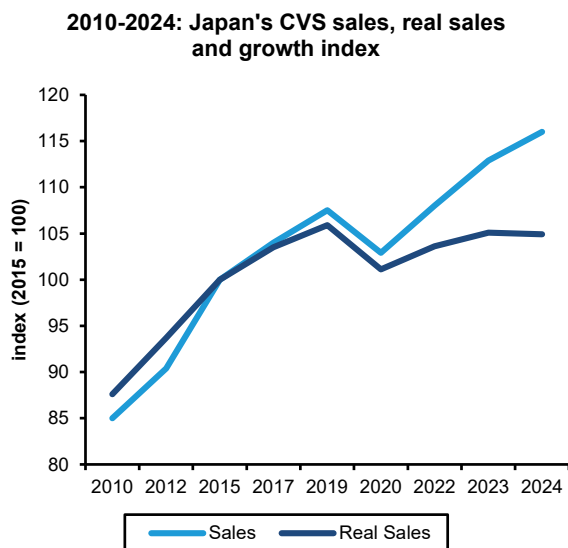
The second indicator cuts deeper — the very pricing actions sustaining the top line are eroding the industry's most valuable asset: high-frequency customer traffic. Average spend per customer has climbed for nine consecutive years to offset rising costs, but the metric has become a double-edged sword. The real unit price index has surged to 123.7, while the customer traffic index has contracted to 87.5 — a Real Gap of 36.2 points. In an environment of squeezed real wages, consumers no longer accept the "convenience premium" automatically, and they scrutinize value more carefully than ever. The price hikes meant to protect the top line have, ironically, quietly destroyed the very daily-visit habit the industry depends on.

The third indicator is the physical ceiling on store expansion. The CVS industry thrived for years on a scale model of opening thousands of stores annually to dominate regions. But by 2019, the domestic network hit a saturation point of approximately 55,000 stores (Exhibit 5). This 2019 wall was no coincidence — it marked the simultaneous convergence of three structural constraints. **First, the Work Style Reform legislation** that came into effect that April rendered the overtime-dependent labor model that underpinned 24-hour operations economically unsustainable. **Second, the shrinking working-age population deepened labor shortages further**, driving up the cost of night-shift staffing. **Third, the last economically viable unclaimed territories — suburban office districts, rural highway corridors, peripheral rural outposts — had been filled**, and the geographic frontier for growth effectively closed. COVID-19 only accelerated a structural ceiling that had already

formed.

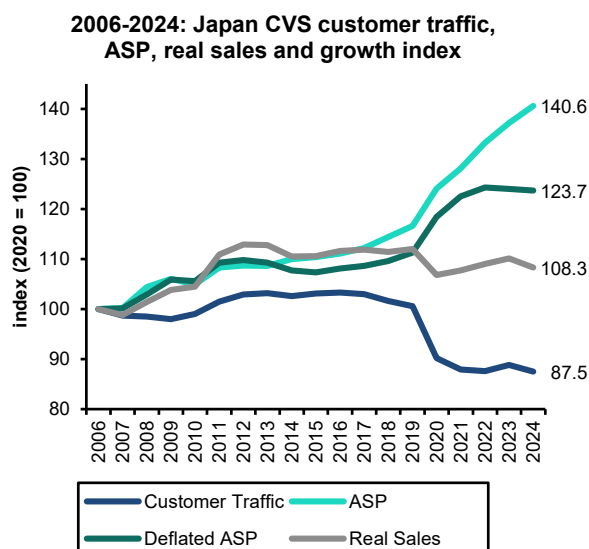
These three indicators — top-line distortion, the inversion of traffic (Exhibit 6) and unit price, and the physical ceiling on expansion — are not independent; they show the same underlying fact from different angles. The CVS sector can no longer defer its problems through quantitative expansion. The major chains have entered a phase in which they have no choice but to move into the complex battle of preserving profitability across existing assets.

EXHIBIT 4: Strip out inflation and the CVS sector has not grown in a decade—the "growth" was price, not volume



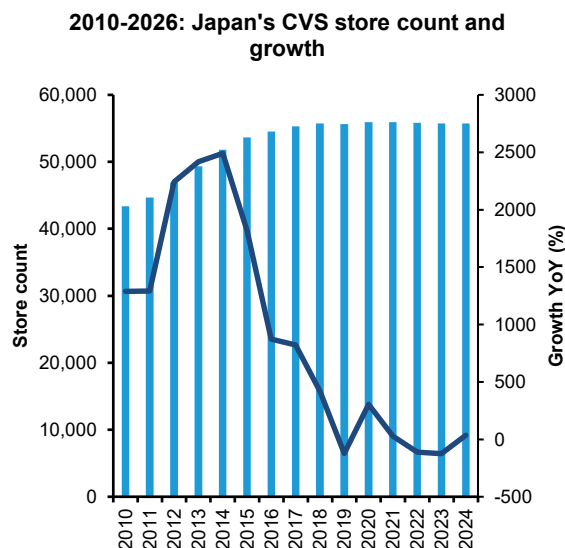
Source: METI, Bernstein analysis.

EXHIBIT 6: the trade-off that cannot continue—rising ticket size offsetting a customer base that keeps shrinking



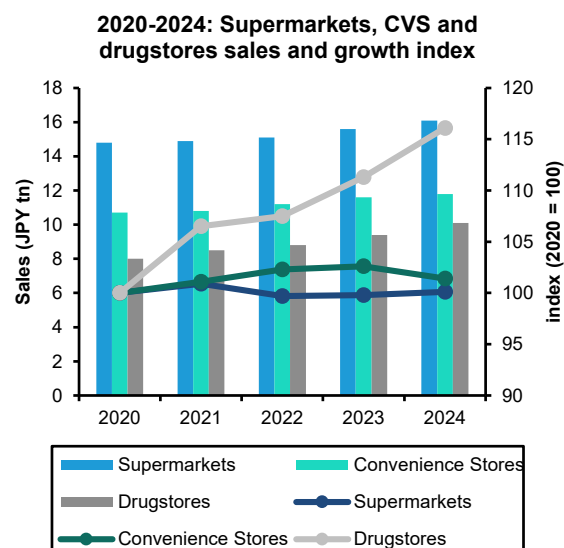
Source: JFA, Statistics Bureau of Japan, Bernstein analysis.

EXHIBIT 5: New store openings in decline—the CVS ceiling has been reached on the ground



Source: JTA, Bernstein analysis.

EXHIBIT 7: CVS and supermarkets flat, drugstores compounding—the format war verdict is in



Source: METI, Japan Franchise Association, JACDS, Statistics Bureau of Japan, Bernstein analysis.

The Societal Paradigm Shift: The Death of the "Overworked Salaryman"

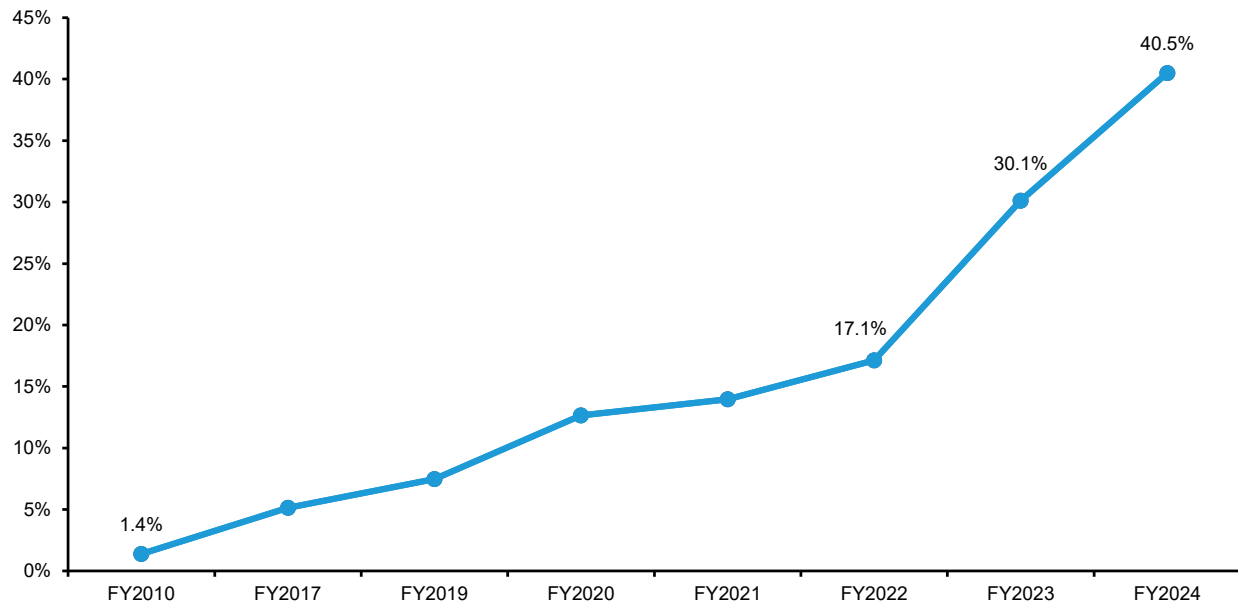
The deepest threat to the CVS model is not economic. Not inflation. Not store saturation. Not competitive pressure from adjacent formats. The true cause lies further beneath — **the core customer archetype on which the CVS business was built, the "overworked salaryman," is quietly going extinct as a demographic category.** The rise of the CVS was inseparable from the lifestyle of the corporate warrior who worked late into the night and relied on the store for energy drinks and solitary dinners — effectively buying time with money. Now, on top of the structural headwinds of inflation and saturation, a deeper pressure is bearing down: the fundamental reordering of Japanese society that is erasing this demographic altogether.

The first shift is the collapse of the commuter economy. The entrenchment of telework in urban centers has dismantled the incidental purchasing behavior that sustained CVS traffic. Triggered by the pandemic, the time spent at home by Japanese aged 15 and over increased by a striking 50 minutes per day (MIC, 2021). The "pick-up-on-the-way" occasion has evaporated — teleworkers have shorter windows for weekday shopping, and the cash-cow demand for morning coffee and midday bento boxes has migrated entirely to residential supermarkets. **With the daytime population hollowed out, the CVS has lost its most powerful weapon: the high-frequency physical touchpoint.**

The second shift is the erosion of traditional gender roles. The unwinding of fixed domestic roles has reshaped consumption patterns from "solitary survival" to "family-centered dining," further marginalizing the CVS model. MHLW data shows a large-scale behavioral shift, with the male parental leave take-up rate climbing from 1.4% in 2010 to 40.5% in 2024 (Exhibit 8). As dual-income, dual-parenting households spend more time at home, the need for quick, solitary meals has diminished. **Consumers now have the bandwidth to shop at supermarkets for fresh ingredients, identifying the societal evolution — from "time-poor solo workers" to "time-rich family units" — as the root cause of the structural decline in CVS traffic.**

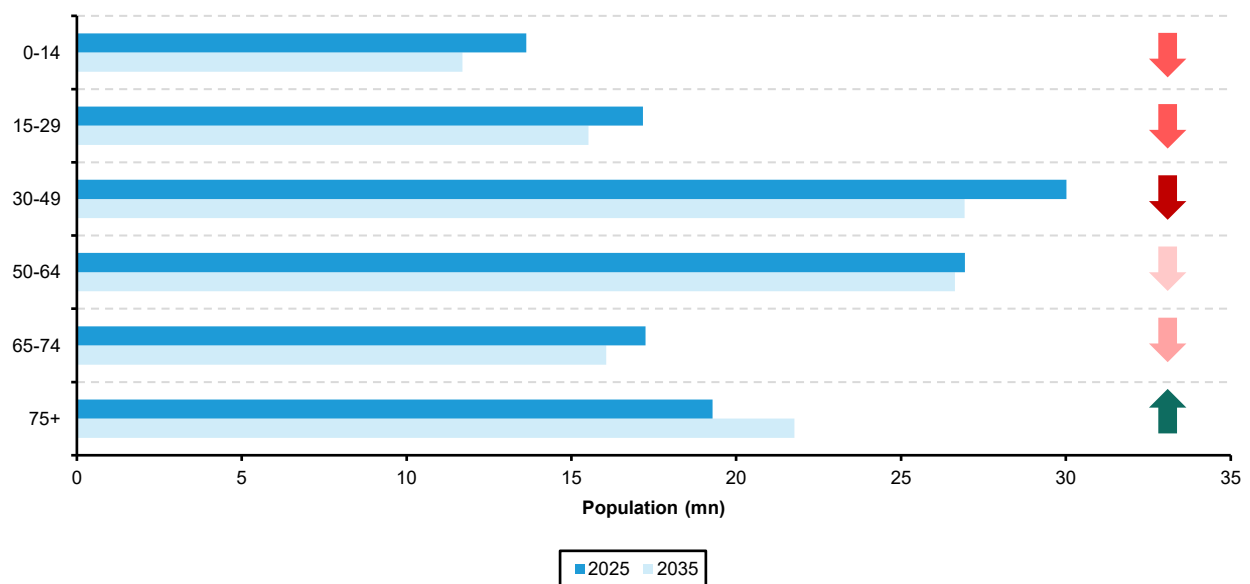
The third shift is the compression of the customer base itself through generational turnover. What historically sustained CVS unit economics was the late-shift working-age population, and in particular the 30–49 core consumption cohort. According to the National Institute of Population and Social Security Research, the working-age population (15–64) will shrink from approximately 74.1 million in 2025 to approximately 69.1 million in 2035 — a decline of roughly 5.0 million, or -6.8%. The 30–49 core consumption cohort alone will contract by approximately 3.1 million, or -10.3% (Exhibit 9). The decline matters not only in scale but in character — the generations exiting and the generations replacing them do not share consumption habits. **Younger cohorts, prioritizing work-life balance, do not build their routines around late-night office hours. A smaller headcount, combined with a lower CVS dependency among those who remain, moves the same trend line downward from two directions simultaneously.**

These three shifts are not independent phenomena — they are different facets of the same underlying transformation: the redesign of Japanese lifestyles themselves. The evaporation of the commuter economy, the redefinition of gender roles, the generational turnover — each is a quiet, undramatic process, but the CVS business model was not designed to operate in an environment where all three unfold simultaneously. This is not a cyclical headwind; it is the outcome of an irreversible structural shift in Japanese society. Legally and culturally, consumers are not returning to a lifestyle of late-night overtime and late-night solitary meals.

EXHIBIT 8: From 1.4% to 40.5% in a decade—the behavioral shift that ended the Overworked Salaryman economy**FY2010-FY2024: Japan's male parental leave take-up rate**

"Basic Survey of Gender Equality in Employment Management"

Source: Ministry of Health, Labor and Welfare (MHLW), Bernstein analysis.

EXHIBIT 9: Every working-age cohort except 75+ is shrinking—the CVS core customer literally disappears from the population**FY2025/FY2035: Japan's working-age population trend by age cohort**

"Population Projections for Japan," medium-fertility, medium-mortality projection

Source: National Institute of Population and Social Security Research, Bernstein analysis.

Competitors Stealing the "Daily Routine"

In this new environment, the CVS sector finds itself encircled by a "pincer attack" from competitors who are structurally better positioned to serve the modern consumer. Drugstores have emerged as the winner for daily replenishment, using food as a loss leader to offer a value proposition CVS cannot match, prompting a shift in daily shopping habits. Simultaneously, Urban Mini-Supermarkets like Aeon's "My Basket" have neutralized the CVS's geographic advantage by opening next door with fresh produce and cheaper deli items. Squeezed from above by delivery apps, below by discounters, and from the side by mini-supermarkets, the Convenience Store is slowly ceding its throne as the King of Retail.

The stagnation in customer traffic is not a temporary cyclical downturn, but the result of an irreversible structural transformation of Japanese society. The peak-out in numbers is driven by compound factors: Work Style Reform reducing overtime, the generalization of dual-income households, and the technological entrenchment of telework. It is legally and culturally impossible for consumers to revert to a lifestyle of exhausting overtime and late-night solitary meals. **With Millennials and Gen Z prioritizing work-life balance, the decline in demand based on the legacy business model—harvesting demand from time-poor workers at premium prices—is a permanent trend.**

The Structural Dilemma of 7-Eleven

Even 7-Eleven — the absolute monarch that has led the convenience store industry — cannot escape the center of this structural crisis. The company that built the prototype of the Japanese CVS model, and that consistently pioneered the innovation defining the industry, embodied the very capacity for adaptation to change. Today, it still stands unrivalled at the top of the industry, operating roughly 21,000 stores domestically — far ahead of FamilyMart's approximately 16,000 and Lawson's approximately 14,000. In Average Daily Sales (ADS), it has long commanded a premium that left rival chains in the dust.

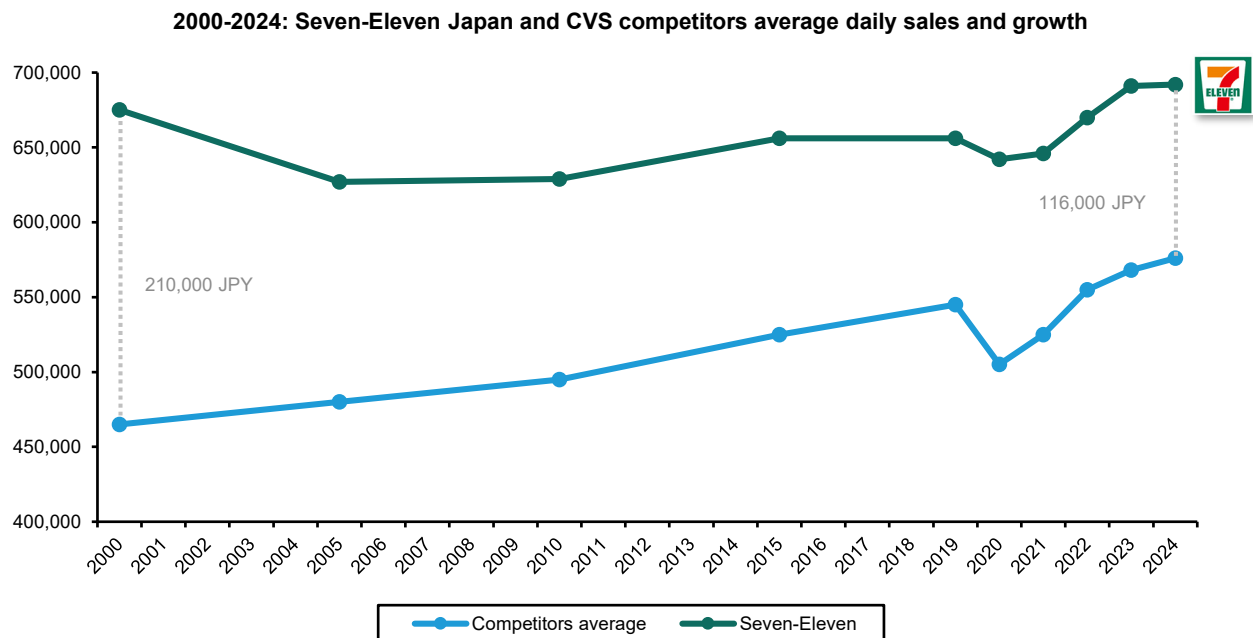
Yet this very source of dominance — the historical gap in ADS versus competitors — has been narrowing quietly (Exhibit 10) and continuously over the long term. In 2000, 7-Eleven's ADS averaged ¥675,000, against a competitor average of ¥465,000, creating a ¥210,000 gap (Exhibit XX: Average Daily Sales trends of major CVS chains). By 2024, 7-Eleven's ADS had risen only to ¥692,000 — a modest 2.5% advance over 24 years — while the competitor average caught up aggressively to ¥576,000, compressing the gap to ¥116,000, roughly 45% lower than in 2000. This is not a cyclical trend: it is a structural convergence playing out over a quarter-century.

For a CVS operator rooted in a franchise business model, this compression of the ADS gap is a matter of life and death — it directly threatens the retention of franchise owners, the very lifeline of the network. In a model where headquarters and franchisees share profits, a high ADS is the sole justification for demanding a high royalty rate. 7-Eleven's charge system employs a sliding scale under which the headquarters' share rises in tiers as gross profit climbs, imposing an extraordinarily high marginal charge rate of 76% on any monthly gross profit exceeding ¥5.5 million. Owners of standard stores have long tolerated an effective headquarters charge rate of 62.7% — only because of the overwhelmingly high ADS and brand power that dwarfed other chains.

As the convenience store format itself stands at a historic crossroads, the industry's reigning king is being driven into an unprecedented internal crisis by the fierce pursuit of competitors. The macro headwind of traffic deceleration, driven by consumer lifestyle change, is colliding simultaneously with the microstructural flaw of franchisee profits being squeezed by a high-cost franchise package. The king's business model is approaching its breaking point, and without a fundamental review of the charge system and a redefinition of the format, it will be difficult to avoid a quiet deterioration of the franchise network.

This deterioration, however, is also the most powerful catalyst for format redesign. It is precisely when internal limits are laid bare that the transformation to realign with the external environment begins. The following section sets out the three strategic shifts that the CVS sector must execute to survive.

EXHIBIT 10: Seven-Eleven is gradually losing its competitive edge, as the performance gap with competitors has steadily narrowed over the past 24 years

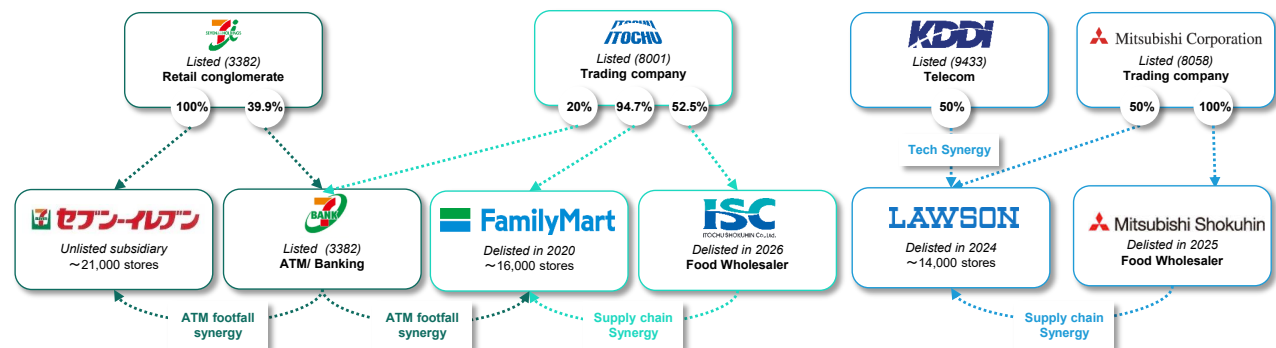


Competitor average: Weighted average of FamilyMart, Lawson, MINISTOP, and other major JFA member chains excluding Seven-Eleven
Source: Japan Franchise Association, Company reports, Bernstein analysis.

The Paradox: Losing Format, Contested Asset

If the diagnosis so far is correct, the following fact should be inexplicable. Into a format that is structurally saturated, whose real sales have been flat for a decade, and whose core customer is going demographically extinct, some of Japan's most prominent capital has lined up to bid. Itochu, the general trading house, took FamilyMart fully private for c. ¥580bn (US\$3.7bn) in 2020; Mitsubishi and KDDI delisted Lawson for c. ¥500bn (US\$3.2bn) in 2024; and the SoftBank coalition is now in talks to invest up to ¥300bn (US\$1.9bn) in Seven (2026, unconfirmed). A combined ¥1.4tn (c. US\$9bn) — not the sort of money one pays for a declining format. And the buyers are not retail peers but outsiders: trading houses, telecom, payments (Exhibit 11). There is only one answer to this contradiction. **They are not buying format growth. They are buying the network.** The next section breaks it into four parts.

EXHIBIT 11: While FamilyMart and Lawson were taken private with premiums paid to exiting shareholders, Seven & i would now join the realignment on opposite terms — staying listed, with outside capital arriving via dilution



Source: Company reports, Bernstein analysis.

The Network Is the Prize: The Four Faces of the Network

The first face: the supply chain — "the profit is downstream." Measuring Itochu's FamilyMart-related earnings by the retail entity alone misreads the structure. Net profit at the 8th Company, the division housing FamilyMart, was ¥65.1bn (US \$420mn, up 82% from ¥35.8bn) — modest next to the Metals division's ¥226.1bn (US\$1.4bn). But for a trading house, the value of a convenience chain sits upstream of that "visible profit": the merchandise flows running through group wholesalers Itochu Shokuhin and Nippon Access, control of private-brand development, and above all the defensive imperative — in an era where power has shifted to the consumer, whoever fails to hold the downstream tap risks being disintermediated across the entire chain. Itochu itself calls this structure "the profit is downstream." MitsubishiXLawson replicates the same design through Mitsubishi Shokuhin. For a trading house, a convenience chain is not a retail business — it is **the anchor of the entire value chain**.

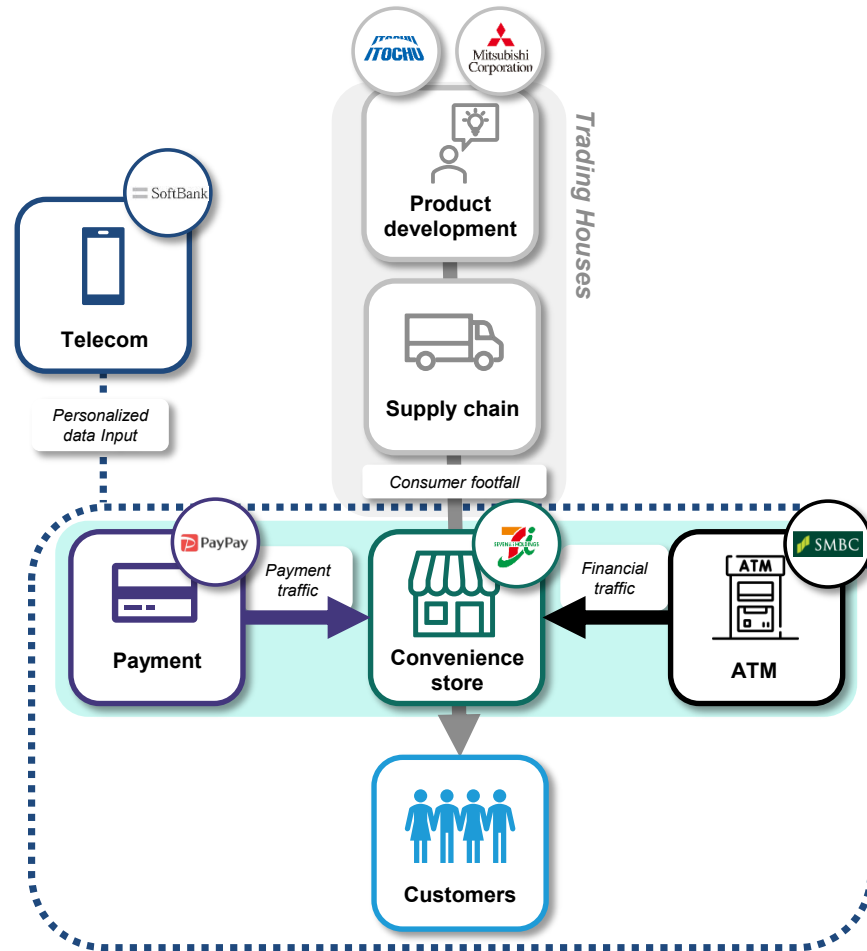
The second face: telecom-payments — the store network as a traffic engine. For a carrier, the convenience store is the physical layer of churn defense and purchase-data capture. The logic is already proven. After taking joint control of Lawson, KDDI relaunched its subscriber perk program au Smart Pass as "Ponta Pass" (October 2024), wiring its member base directly into Lawson — enrollment reached 1.6x pre-relaunch levels, app MAU 1.4x, coupon usage 3x, measurably lifting Lawson's daily sales and traffic. **Connect a carrier's member base to a store network and traffic flows in both directions** — that is now a quantified fact. The SoftBank coalition's picture at Seven is the same design at greater scale: 74mn registered PayPay users × Japan's largest network of 22,000 stores. The groundwork is laid — SMCC and PayPay signed a comprehensive alliance (May 2025), and V-point/PayPay-point interchange went live (March 2026); the reported investment talks are the final step of fixing these existing connections in place with capital. **But this picture cannot be painted on a blank canvas.** Seven carries its own payments legacy — the e-money nanaco (issued since 2007) and Seven Mile — and faces a design problem absent from both precedents: how to integrate an existing economy of tens of millions of members with the PayPay/V-point economy. Running parallel point schemes is an operating cost; forced migration is a churn risk. Lawson's comparatively smooth connection with Ponta — which was born a coalition point program — started from very different initial conditions.

The third face: finance — the ATM as the finished article. The most complete monetization of a convenience network sits, in fact, outside the register. Seven Bank's ATM business earns roughly 90% of its revenue from acceptance fees, runs an ROE of c. 14% — nearly double the megabanks — and by one estimate generates roughly 40x the profit per square meter of a Seven-Eleven store. **The one tsubo in the corner outearns the store around it.** Some 27,000 machines, 99.98% uptime, roughly 2.3 million users a day: this is the standing answer to the question of what happens when financial functions are layered onto a high-frequency physical network. It is why Itochu took a 16.35% stake in Seven Bank and is rolling ATMs into FamilyMart — and why SMCC has a seat in the SoftBank coalition: to replicate and extend the finished article.

The fourth face: data × retail media — selling the screen, not the shelf. Convenience-store purchase data is Japan's highest-frequency, highest-density first-party data, and cookie deprecation has raised its scarcity value. Monetization has begun. FamilyMart's signage network "FamilyMartVision" completed installation across 10,000 stores nationwide in March 2024, carries 300-plus advertisers, and both operating entities — Gate One (Itochu×FamilyMart) and Data One (targeting ads, with Docomo) — are already profitable. FamilyMart targets ¥10bn (US\$64mn) in retail-media operating profit within four years — roughly a tenth of its current operating profit. Japan's retail-media market is forecast to double from ¥606.6bn (US\$3.9bn) in 2025 to ¥1.3tn (US\$8.4bn) by 2029: **a storefront that 15 million people walk through every day is being redefined as a medium.**

The four faces are not independent. The supply chain feeds private brands and logistics; payments supply the ID; finance supplies a reason to visit; media supplies the exit for the data — each reinforces the others. However much shelf share the drugstores take, no other physical network in Japan combines all four. **A losing format; a contested network** (Exhibit 12).

EXHIBIT 12: Different buyers see different assets in Seven-Eleven's store network



Source: Bernstein analysis

AI Meets the Shop Floor: From Concept to Chain-Wide – Three Layers

And it is AI that will ultimately determine the value of this network. "AI x convenience store," however, is not a monolith. Sorted by implementation maturity into three layers, it becomes clear where the substance is — and where the concept ends. (Exhibit 13)

Layer 1: Core-system AI — proven, and unglamorous. This is the only layer with confirmed profit contribution. Lawson's AI ordering system "AI.CO" completed chain-wide implementation in July 2024, recommending order volumes and markdown timing from weather, inventory and cross-product sales linkages. The results are in the numbers — average daily sales per store reached ¥601,000 (c. US\$3,800), a record level, same-store gross profit is said to have been lifted by c. ¥7bn (US\$45mn) a year, and the company targets a 30% reduction in store operating hours by FY2/2031. Nothing flashy — **the AI that works lives inside ordering and markdowns.**

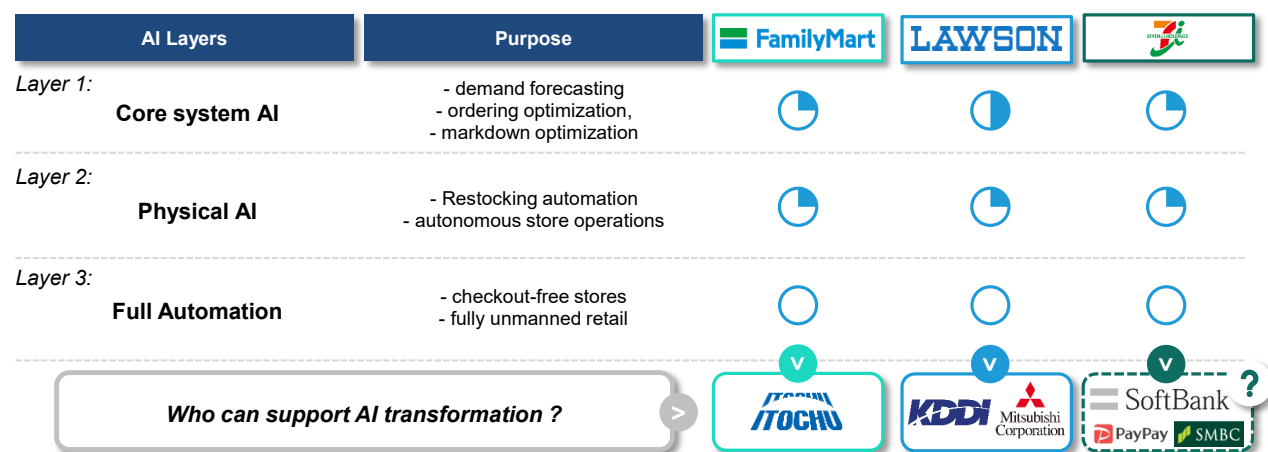
Layer 2: Physical AI — scaling, with the store network as the training data. For physical work, one company's evolution path summarizes the industry's current position. Telexistence — a robotics company that automates store restocking via teleoperation technology — has beverage-stocking robots deployed across all three major chains: its current-generation **TX Ghost** works Seven-Eleven stores in Tokyo (trial operation since September 2025) and two Lawson stores at Takanawa Gateway City, after its predecessor spent three and a half years restocking FamilyMart backyards at hundreds of stores, running 24 hours a day, shelving on the order of 1,000 bottles per store per day and replacing one to three hours of human work — with AI executing over 98% of movements autonomously and remote operators intervening only on failure. That fleet has produced the asset that matters: **more than 30,000 hours of real-store teleoperation data**, the raw material for training robots to act. The trajectory it feeds is explicit. In September 2025, Seven and Telexistence announced joint development of "Astra," a humanoid running a VLA (vision-language-action) foundation model, with store deployment targeted for 2029 — and the stated

core of the partnership fits in one line: real-world data from Seven's 20,000+ stores will be used to train the AI. The freshest proof point arrived in June 2026: as the only Japanese company selected for the AWS–NVIDIA–MassRobotics Physical AI Fellowship, Telexistence published a demonstration of a humanoid autonomously bagging items at a convenience-store register — PET bottle, onigiri, barcode scan, bag — **on a single VLA policy, with zero human intervention**, built in collaboration with NVIDIA's DreamZero world model. The company is candid that speed, smoothness and generalization remain unsolved; the point is the direction of travel. The store network, in other words, is not merely a destination for AI — it is Japan's largest training-data engine for physical AI. The SoftBank coalition's reported concepts — demand forecasting from base-station foot-traffic data, robotics applications with Yaskawa Electric — only make sense placed in this context.

Layer 3: Full automation — the cautionary tale. Precedents also teach us where the ceiling sits. In January 2026, Amazon announced the closure of all 72 Amazon Go and Amazon Fresh stores — the world's best AI company could not make checkout-free retail work at deployable economics. China's Bingo Box shrank from a "5,000 stores in a year" vision to a peak of 400. The lesson is unambiguous: **fully automating the customer experience does not pay. Selectively replacing labor does.** Japan's approach — ordering AI, stocking robots, avatar service — is deliberately labor-saving and assistive, not because the technology lags, but because the problem was framed correctly. And that problem is the labor shortage: 61% of franchisees report understaffing, the workforce leans heavily on international students capped at 28 hours a week, and convenience stores sit outside the Specified Skilled Worker visa program. **Carrying Japan's most acute labor problem and a 55,000-store scale fit for repeatable experiments, this industry is the country's largest testing environment for whether AI can rewrite labor in the physical world.**

The convenience store — once the undisputed growth engine of domestic retail — is now being tested for a second reason to exist: as Japan's AI testbed. What separates winners from losers is whether Layer 2's concepts can be carried through with Layer 1's discipline — chain-wide penetration of core systems. The next section grades the three camps on exactly that.

EXHIBIT 13: **Once the Engine of Domestic Retail, Convenience Stores Are Emerging as Japan's Most Valuable AI Testbed**



Source: Company reports, Bernstein analysis.

What this means for SoftBank Group: the enhancement of the Physical AI stack

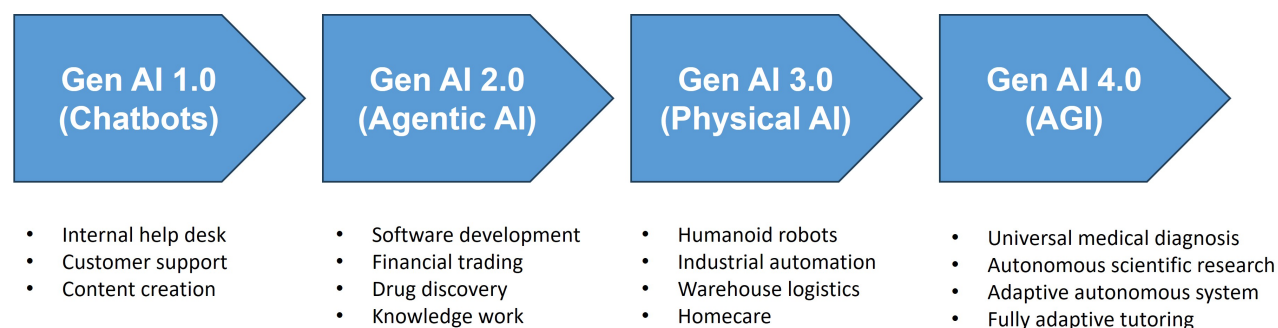
As indicated in [SoftBank, Arm: From GenAI to Agentic AI; Initiating with Outperform Ratings](#), SoftBank is a single investment holding company to own the entire AI stack that each generation runs on (Exhibit 14-Exhibit 15). SoftBank has deliberately executed towards this vision. CEO Masayoshi Son has structured SoftBank not as a diversified tech investor, but as a vertically integrated AI holding company - the only entity attempting to capture the entire value chain from silicon to physical AI to superintelligence.

At the **physical AI layer**, SoftBank is positioning for Gen AI 3.0, embodied intelligence, through SoftBank Robotics (Pepper, NAO) and the pending \$5.4bn acquisition of ABB Robotics, which, upon close, would give SoftBank one of the world's largest industrial robotics businesses as the interface between AI models and the physical world.

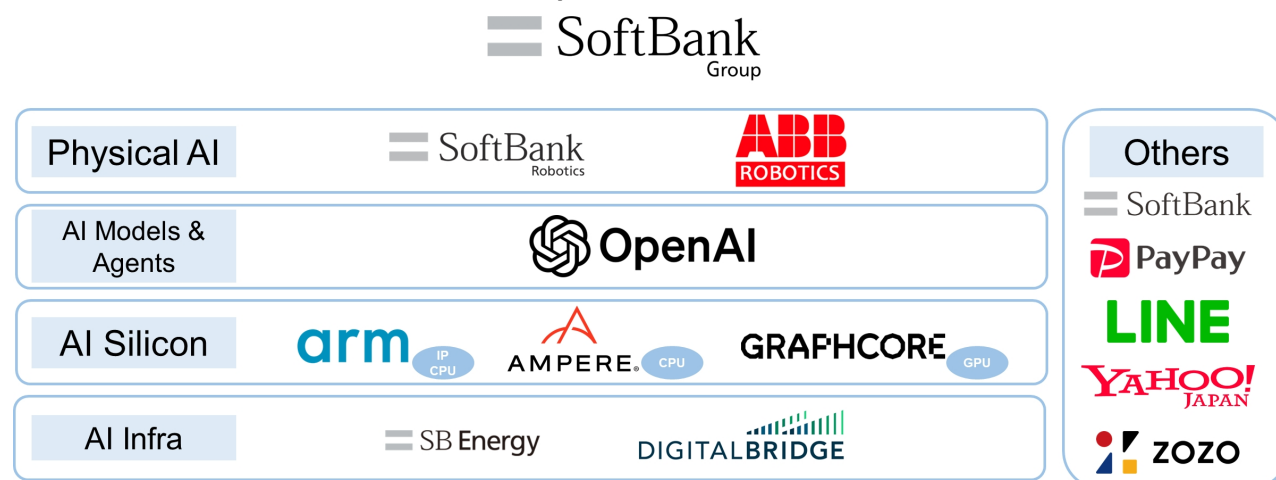
Step back from the shop floor, and the Seven investment stops looking like a retail story at all. Masayoshi Son has spent two years assembling a vertically integrated Physical AI stack with startling speed and public conviction — "SoftBank's next frontier is Physical AI," as he put it when announcing the \$5.4n acquisition of ABB's robotics business (October 2025), before elevating ASI and Physical AI to the twin pillars of his new 30-year vision at the June 2026 AGM, where he noted that "in one factory, robots have already begun mass-producing robots." Map the stack and the design is unmistakable: the brain (OpenAI & Skild AI's robot foundation model), the body (ABB, closing expected in mid-to-late 2026; the Yaskawa MOU pairing SoftBank's VLM with Yaskawa's VLA-driven MOTOMAN NEXT), the compute (Arm, Graphcore and Ampere, spanning from cloud to edge), and the network (AI-RAN/AITRAS, commercializing on SoftBank's own grid from 2026, with NVIDIA claiming c. \$5 of AI inference revenue per \$1 of capex). **What the stack conspicuously lacks is its bottom layer: a place where all of this meets the physical world at scale, every day, and gets graded.**

That is what 22,000 convenience stores are. Three functions, in ascending order of strategic value. **First, a deployment field** — edge inference for ordering and foot-traffic forecasting, robotics for stocking and cleaning, each store a repeatable unit of experiment. **Second, a data engine** — the SevenXTelexistence "Astra" program states it plainly: real-world data from 20,000-plus stores to train a VLA humanoid for 2029. **It is worth noting that SoftBank already sits on both sides of that arrangement, having participated in Telexistence's ¥23bn Series B alongside Foxconn in 2023 — the coalition's equity stake in Seven would close the loop between the robot developer it funds and the environment that trains it.** **Third, and most valuable to a holding company whose equity story is a bet that AI rewrites every industry: falsifiable proof.** SoftBank's evidence today is concentrated upstream — Arm's IP and silicon, OpenAI's models, Stargate's data centers. A beverage shelf restocked by a robot, an order book written by a demand model, a franchise P&L with measurably fewer labor hours: these are the most everyday, most auditable receipts the AI thesis could produce. For a stock that trades on the credibility of a vision, receipts matter.

EXHIBIT 14: From communication to execution to embodiment: the Gen AI roadmap toward enterprise-scale general intelligence



Source: Bernstein analysis

EXHIBIT 15: **SoftBank's Investments in the AI ecosystem**

"SoftBank" within the 'Others' category refers to SoftBank Corp., the Group's telecommunications business (listed separately as 9434.JP; not covered).
Source: Company disclosures, Bernstein analysis.

Who Executes Wins: Three Camps, Three Survival Strategies

Grading execution starts from an honest premise: the three camps are not playing under the same conditions.

FamilyMart (100% Itochu) has been running the longest. Six years on from full consolidation, it leads implementation of network monetization: vertical integration of the supply chain, a profitable retail-media business in Data One (the data partnership with Docomo), and signage across 10,000 stores.

Lawson (50/50 Mitsubishi x KDDI) is deepest in core-system AI. It combines the proven "AI that works" — chain-wide AI.CO — with the quantified traffic engine of Ponta Pass. The lesson of two years of joint management — experimental stores stopped at four, while core-system reform reached every store and moved profit — is the implementation roadmap for the entire industry.

Seven (in talks with the SoftBank coalition) holds the largest network and the largest homework, simultaneously. Its scale — 22,000 stores, PayPay's 74mn users — and its range — the 2029 humanoid program with Telexistence — are the greatest of the three. But the investment remains at the discussion stage; the integration of nanaco and Seven Mile poses a design problem unique to this deal; and above all, this is a restart from the digital defeats that began with 7pay. Escaping an exhausted, old-school convenience model by inviting in outside capital — the latecomer has been handed the largest canvas, and the outcome is still blank.

What to monitor collapses to a single point: **whether each camp's AI implementation stops at the showcase (experimental stores, demos) or reaches chain-wide penetration of core systems (ordering, inventory, markdowns, labor scheduling).** As Lawson's AI.CO demonstrated, only the latter reaches shareholder value. The survival of what was once domestic retail's growth engine rests not on prolonging the format, but on completing this experiment.

MODEL UPDATES

Seven and i full year operating profit moved up ¥20bn to ¥425bn, but the half-year split was telling: H1 raised ¥44bn while H2 was cut ¥24bn, with management assuming fuel conditions normalise and a weaker yen assumption.

We have updated our model to capture stronger fuel margins in 1H, followed by a contraction in operating profit in 2H as fuel-related COGS rise. For FY27, we incorporate a modest decline in both operating profit and net profit, reflecting an expected moderation in fuel prices.

The company also confirmed it will continue its share buyback program, with approximately ¥1.4tn remaining under the approved ¥2.0tn authorization. This exceeds the anticipated share issuance related to the SoftBank transaction (market reports suggest around ¥300bn, with details yet to be finalized). We have baked in mid single digit share reduction through FY30 to

refelct these impacts.

On 17x (multiple unchanged) of NTM+1 earnings, we maintain our TP at JPY2,100.00, implying 4% upside.

EXHIBIT 16: Seven and i: Bernstein vs. Consensus

Seven & i: summary of estimate	FY2/26	FY2/27	FY2/28
Revenue (JPY mn)			
Bernstein - old	9,713,555	9,908,117	10,106,571
Growth YoY	-6.9%	2.0%	2.0%
Bernstein	10,394,572	10,036,748	10,237,754
Growth YoY	-0.3%	-3.4%	2.0%
Consensus	10,178,497	10,162,299	10,251,415
Growth YoY	-13.8%	-0.2%	0.9%
Bernstein - new vs. old	7.0%	1.3%	1.3%
Bernstein vs. consensus	2.1%	-1.2%	-0.1%
Gross profit			
Bernstein - old	2,892,081	2,950,009	3,009,096
Growth YoY	-7.6%	2.0%	2.0%
Margin	29.8%	29.8%	29.8%
Bernstein	3,108,280	3,001,281	3,061,388
Growth YoY	-0.7%	-3.4%	2.0%
Margin	29.9%	29.9%	29.9%
Consensus	3,004,794	3,048,486	2,968,810
Growth YoY	-4.0%	1.5%	-2.6%
Margin	29.5%	30.0%	29.0%
Bernstein - new vs. old	7.5%	1.7%	1.7%
Bernstein vs. consensus	3.4%	-1.5%	3.1%
Operating income (JPY mn)			
Bernstein - old	405,713	411,871	421,991
Growth YoY	-4.1%	1.5%	2.5%
Margin	4.2%	4.2%	4.2%
Bernstein	424,912	421,181	431,768
Growth YoY	0.5%	-0.9%	2.5%
Margin	4.1%	4.2%	4.2%
Consensus	416,513	431,331	454,629
Growth YoY	2.9%	3.6%	5.4%
Margin	4.1%	4.2%	4.4%
Bernstein - new vs. old	4.7%	2.3%	2.3%
Bernstein vs. consensus	2.0%	-2.4%	-5.0%
Net income (JPY mn)			
Bernstein - old	276,561	280,872	287,955
Growth YoY	-7.5%	1.6%	2.5%
Margin	2.8%	2.8%	2.8%
Bernstein	278,723	270,393	277,804
Growth YoY	-6.8%	-3.0%	2.7%
Margin	2.7%	2.7%	2.7%
Consensus	272,837	268,786	285,123
Growth YoY	58.9%	-1.5%	6.1%
Margin	2.7%	2.6%	2.8%
Bernstein - new vs. old	0.8%	-3.7%	-3.5%
Bernstein vs. consensus	2.2%	0.6%	-2.6%

Source: Company reports, Bernstein estimates and analysis.

Aeon has maintained its FY2026 targets. Latest quarter shows the company making meaningful progress in Health & Wellness toward its goal of achieving 135 billion yen in operating profit by February 2029, but the GMS, supermarket, and even discount store formats continue to struggle. We have raised our forward forecasts for the Health & Wellness segment, while trimming our expectations for GMS, supermarkets, and discount stores. We remain high-single-digit below consensus for FY2028.

On 30x (multiple unchanged) of NTM+1 earnings, we maintain our TP at JPY1,100.00, implying around 20% downside.

EXHIBIT 17: **Aeon: Bernstein vs Consensus**

Aeon Co., Ltd: summary of estimate	FY2/26	FY2/27	FY2/28
Revenue (JPY mn)			
Bernstein - old	11,741,617	12,017,584	12,278,396
Growth YoY	9.6%	2.4%	2.2%
Bernstein	11,898,597	12,179,751	12,440,474
Growth YoY	11.0%	2.4%	2.1%
Consensus	11,912,290	12,225,881	12,529,879
Growth YoY	19.1%	2.6%	2.5%
Bernstein - new vs. old	1.3%	1.3%	1.3%
Bernstein vs. consensus	-0.1%	-0.4%	-0.7%
Operating income (JPY mn)			
Bernstein - old	315,359	351,984	381,071
Growth YoY	16.6%	11.6%	8.3%
Margin	2.7%	2.9%	3.1%
Bernstein	335,518	361,984	375,745
Growth YoY	24.1%	7.9%	3.8%
Margin	2.8%	3.0%	3.0%
Consensus	330,185	369,082	401,057
Growth YoY	43.9%	11.8%	8.7%
Margin	2.8%	3.0%	3.2%
Bernstein - new vs. old	6.4%	2.8%	-1.4%
Bernstein vs. consensus	1.6%	-1.9%	-6.3%
Net income (JPY mn)			
Bernstein - old	72,472	91,445	110,843
Growth YoY	-0.3%	26.2%	21.2%
Margin	0.6%	0.8%	0.9%
Bernstein	76,554	96,217	108,458
Growth YoY	5.3%	25.7%	12.7%
Margin	0.6%	0.8%	0.9%
Consensus	77,798	97,019	119,315
Growth YoY	125.2%	24.7%	23.0%
Margin	0.7%	0.8%	1.0%
Bernstein - new vs. old	5.6%	5.2%	-2.2%
Bernstein vs. consensus	-1.6%	-0.8%	-9.1%
EPS (JPY)			
Bernstein - old	27	34	41
Growth YoY	-0.3%	26.2%	21.2%
Margin	0.0%	0.0%	0.0%
Bernstein	28	36	40
Growth YoY	5.3%	25.7%	12.7%
Margin	0.2%	0.3%	0.3%
Consensus	28	35	44
Growth YoY	111.0%	24.7%	23.1%
Margin	0.2%	0.3%	0.4%
Bernstein - new vs. old	5.6%	5.2%	-2.2%
Bernstein vs. consensus	-0.3%	0.5%	-8.0%

Source: Company reports, Bernstein estimates and analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 18: Seven and i: Income Statement

Seven & I. - Income Statement (in JPY million, unless otherwise stated)						
	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	10,430,269	10,394,572	10,036,748	10,237,754	10,442,781	10,651,909
Cost of sales	7,300,235	7,232,503	7,238,274	7,412,639	7,318,240	7,374,738
Gross profit on sales	3,130,034	3,162,068	2,798,474	2,825,116	3,124,541	3,277,170
Operating revenues	1,536,575	1,487,228	1,621,283	1,630,439	1,536,575	1,487,228
Gross profit from operations	3,130,033	3,108,280	3,001,281	3,061,388	3,122,697	3,185,232
Total SG&A	(2,707,037)	(2,737,157)	(2,377,293)	(2,393,348)	(2,680,632)	(2,822,838)
Operating Profit	422,997	424,912	421,181	431,768	443,909	454,333
Finance costs and others	11,572	(28,505)	(34,905)	(34,905)	(34,905)	(34,905)
Profit before taxation	434,569	396,406	386,276	396,863	409,004	419,428
Income tax	(135,472)	(117,683)	(115,883)	(119,059)	(122,701)	(125,828)
Net Profit	299,097	278,723	270,393	277,804	286,303	293,599
Profit attributable to:						
Equity shareholders of the Company	292,767	274,037	265,707	273,118	281,617	288,913
Non-controlling interests	6,330	4,686	4,686	4,686	4,686	4,686
Diluted EPS (JPY)	119	122	123	133	144	156
W.A. shares outstanding (mn)	2,464,077	2,251,735	2,151,735	2,051,735	1,951,735	1,851,735

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 19: Seven and i: Balance Sheet

Seven and i. - Balance Sheet (in JPY million, unless otherwise stated)						
	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Cash and bank deposits	438,634	694,611	595,445	697,089	688,886	768,090
Trade and other receivables (net)	333,890	356,398	460,485	407,900	466,868	422,531
Inventories	223,398	227,725	192,361	199,434	220,371	236,503
Others	496,621	541,336	541,336	541,336	541,336	541,336
Total Current Assets	1,492,543	1,820,069	1,789,628	1,845,758	1,917,460	1,968,459
Property, plant and equipment	4,497,965	4,502,269	4,398,167	4,309,465	4,234,896	4,173,313
Intangible assets and goodwill	2,469,025	2,482,715	2,482,715	2,482,715	2,482,715	2,482,715
Investments and other assets	683,414	675,489	675,489	675,489	675,489	675,489
Total assets	9,142,947	9,480,542	9,345,999	9,313,427	9,310,561	9,299,976
Accounts payable – trade	416,083	459,120	372,529	386,283	427,002	458,374
ST debt	581,693	364,283	364,283	364,283	364,283	364,283
Others	902,889	1,056,090	1,056,090	1,056,090	1,056,090	1,056,090
Total Current Liabilities	1,900,665	1,879,493	1,792,902	1,806,656	1,847,375	1,878,747
LT debt	1,648,323	1,901,912	1,901,912	1,901,912	1,901,912	1,901,912
Lease obligations	1,398,990	1,444,788	1,444,788	1,444,788	1,444,788	1,444,788
Others	546,773	554,634	554,634	554,634	554,634	554,634
Total liabilities	5,494,751	5,780,827	5,694,236	5,707,990	5,748,709	5,780,081
Shareholders' equity	2,634,255	2,621,330	2,573,378	2,527,052	2,483,467	2,441,510
Accumulated other comprehensive income	985,968	1,051,694	1,051,694	1,051,694	1,051,694	1,051,694
Others	27,968	27,618	27,618	27,618	27,618	27,618
Total Equity	3,648,191	3,700,642	3,652,690	3,606,364	3,562,779	3,520,822
Total Liabilities & Equity	9,142,947	9,481,474	9,346,931	9,314,359	9,311,493	9,300,908

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 20: Seven and i: Cash Flow Statement

Seven and i. - Cash Flow Statement (in JPY million, unless otherwise stated)						
	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Net cash generated from operating activities	666,737	887,705	520,283	732,906	634,968	734,318
Net cash used in investing activities	(477,341)	(313,830)	(301,102)	(307,133)	(313,283)	(319,557)
Net cash used in financing activities	(1,109,878)	33,289	(318,345)	(324,130)	(329,888)	(335,556)
Exchange Gains (losses) on Net Cash	(3,185)	4,904	-	-	-	-
Total change in Cash	(923,667)	612,069	(99,165)	101,644	(8,204)	79,204
Cash and cash equivalents at period end	438,634	694,611	595,445	697,089	688,886	768,090
FCF (proxy)	363,407	605,381	243,614	450,207	346,118	439,194

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 21: **Aeon: Income Statement**

Aeon Co., Ltd. - Income Statement (in JPY million, unless otherwise stated)						
	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	10,715,341	11,898,597	12,179,751	12,440,474	12,709,050	12,988,014
Cost of sales	6,804,965	7,571,483	7,738,211	7,891,416	8,049,074	8,212,764
Gross profit	3,910,376	4,327,114	4,441,540	4,549,057	4,659,976	4,775,250
Total SG&A	(3,639,911)	(3,991,597)	(4,079,556)	(4,173,312)	(4,268,317)	(4,365,486)
Operating Profit	270,465	335,518	361,984	375,745	391,659	409,764
Finance costs and others	(63,003)	(95,345)	(95,345)	(95,345)	(95,345)	(95,345)
Profit before taxation	207,462	240,172	266,639	280,400	296,314	314,419
Income tax	(82,921)	(97,148)	(98,656)	(95,336)	(103,710)	(110,047)
Net Profit	124,541	143,025	167,982	185,064	192,604	204,372
Profit attributable to:						
Equity shareholders of the Company	72,683	76,554	96,217	108,458	111,853	119,267
Non-controlling interests	51,858	66,471	71,766	76,606	80,751	85,105
Diluted EPS (JPY)	27	28	36	40	41	44
W.A. shares outstanding (mn)	2,705,211	2,705,211	2,705,211	2,705,211	2,705,211	2,705,211

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 22: **Aeon: Balance Sheet**

Aeon Co., Ltd. - Balance Sheet (in JPY million, unless otherwise stated)						
	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Cash and deposits	1,350,037	809,835	828,237	813,453	894,174	874,692
Call loans / securities	1,290,498	1,279,711	1,279,711	1,279,711	1,279,711	1,279,711
Notes and accounts receivable - trade	1,887,611	2,348,690	2,282,927	2,317,691	2,263,256	2,312,934
Inventories	829,524	886,620	858,072	855,727	858,072	858,072
Others	4,320,032	4,487,144	4,487,144	4,487,144	4,487,144	4,487,144
Total Current Assets	9,677,702	9,812,000	9,736,091	9,753,727	9,782,356	9,812,552
PP&E	3,941,554	4,127,862	4,243,544	4,359,244	4,475,274	4,592,020
Intangible assets and goodwill	596,334	597,337	597,337	597,337	597,337	597,337
Investments and other assets	1,154,057	1,143,805	1,143,805	1,143,805	1,143,805	1,143,805
Total assets	15,369,647	15,681,004	15,720,777	15,854,113	15,998,773	16,145,715
Notes and accounts payable - trade	1,475,963	1,646,085	1,561,024	1,556,759	1,561,024	1,561,024
Deposits for banking business / ST funding	6,502,280	6,494,155	6,494,155	6,494,155	6,477,149	6,477,149
Others	1,307,302	1,360,068	1,360,068	1,360,068	1,377,074	1,377,074
Total Current Liabilities	9,285,545	9,500,308	9,415,247	9,410,982	9,415,247	9,415,247
Lease obligations	406,360	--	--	--	--	--
LT interest-bearing debt	2,950,455	2,980,450	2,980,450	2,980,450	2,980,450	2,980,450
Others	523,020	942,850	942,850	942,850	942,850	942,850
Total liabilities	13,165,380	13,423,608	13,338,547	13,334,282	13,338,547	13,338,547
Shareholder equity	1,025,695	1,091,773	1,216,607	1,354,208	1,494,603	1,641,545
Non-controlling interests / Others	1,178,568	1,165,617	1,165,617	1,165,617	1,165,617	1,165,617
Total Equity	2,204,263	2,257,390	2,382,224	2,519,825	2,660,220	2,807,162
Total Liabilities & Equity	15,369,647	15,681,002	15,720,775	15,854,111	15,998,771	16,145,713

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 23: **Aeon: Cash Flow Statement**

Aeon Co., Ltd. - Cash Flow Statement (in JPY million, unless otherwise stated)						
	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Net cash generated from operating activities	1,126,953	37,985	548,740	530,298	641,292	557,468
Net cash used in investing activities	(1,088,664)	(358,265)	(487,190)	(497,619)	(508,362)	(519,521)
Net cash used in financing activities	40,093	(39,226)	(43,148)	(47,463)	(52,209)	(57,430)
Exchange Gains (losses) on Net Cash	13,007	-	-	-	-	-
Total change in Cash	91,389	(359,506)	18,402	(14,784)	80,721	(19,482)
Cash and cash equivalents at period end	1,350,037	809,835	828,237	813,453	894,174	874,692
FCF (proxy)	625,060	(263,501)	121,618	95,607	194,904	262,216

Source: Company reports, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Seven & I Holdings**

We value Seven & I at 17x our NTM+1 EPS (¥124), with PT = ¥2,100

Aeon Co., Ltd

We value AEON at 30x our NTM+1 EPS (¥37), with PT = ¥1,100

Pan Pacific International Holdings

We value PPIH at 25x our NTM+1 EPS (¥44), with PT = ¥1,100

SoftBank Group Corp

For SoftBank, we apply a 30% discount to our one-year forward net asset value (NAV) of \$572bn, with a USD/JPY of 159.21, to derive our PT of ¥11,200.

RISKS**Seven & I Holdings****Downside risk:**

- Further deterioration of unit economics

Upside risks:

- Receiving acquisition bids
- Progressive execution through restructuring led by Itochu (trading house, parent of Familymart, Japan's #2 CVS chain)

Aeon Co., Ltd

Upside risks: group-wide synergies materializing beyond expectations, industry consolidation progressing faster than anticipated, Mybasket and international expansion outperforming, additional TOBs on remaining listed subsidiaries.

Pan Pacific International Holdings**Downside risk:**

- Geopolitical setback to inbound demand

- Deterioration in overseas unit economics
- Integration execution and synergy worse than expected

SoftBank Group Corp

Downside risks to our price target for SoftBank include: (1) lower-than-expected valuation for Arm, driven by slower growth in its emerging AGI CPU business and limited market share gains in the server CPU segment; (2) potential market share loss at OpenAI amid intensifying competition; (3) execution risk in OpenAI's monetization strategy, particularly its ability to scale revenues to offset rising operating expenses and computing costs; and (4) financial stability risks, including potential credit-rating downgrades, stemming from continued large-scale investments in OpenAI and other strategic initiatives.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Outperform: Stock will outpace the market index by more than 15 pp
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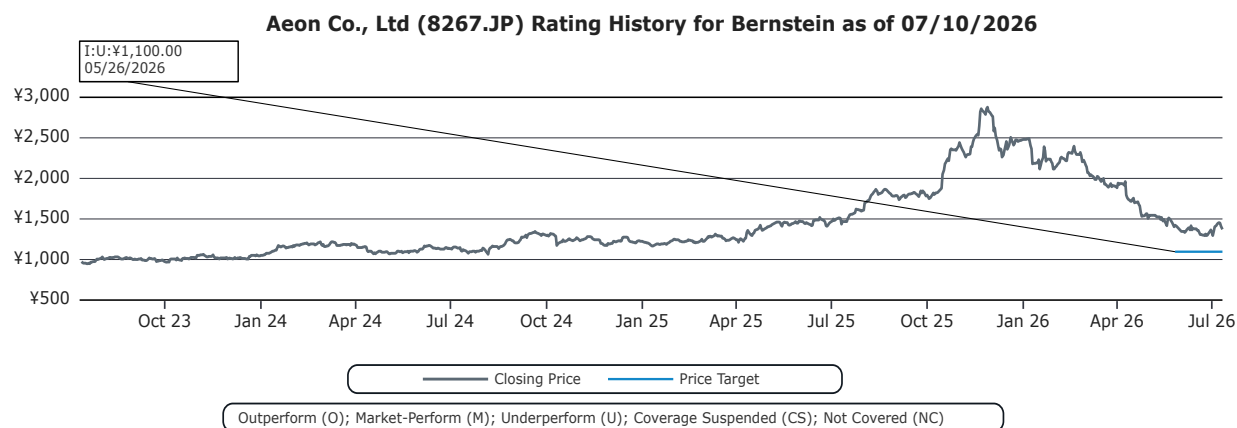
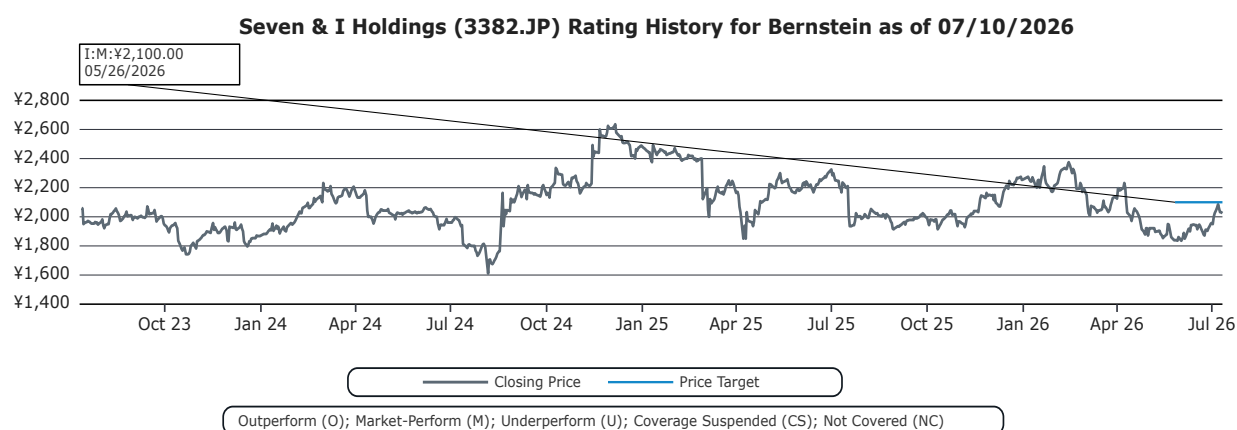
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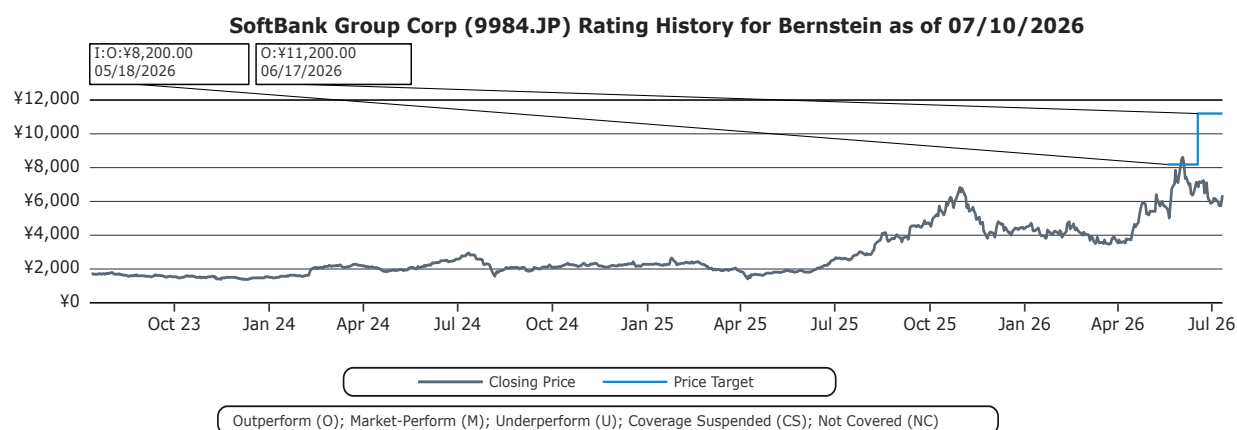
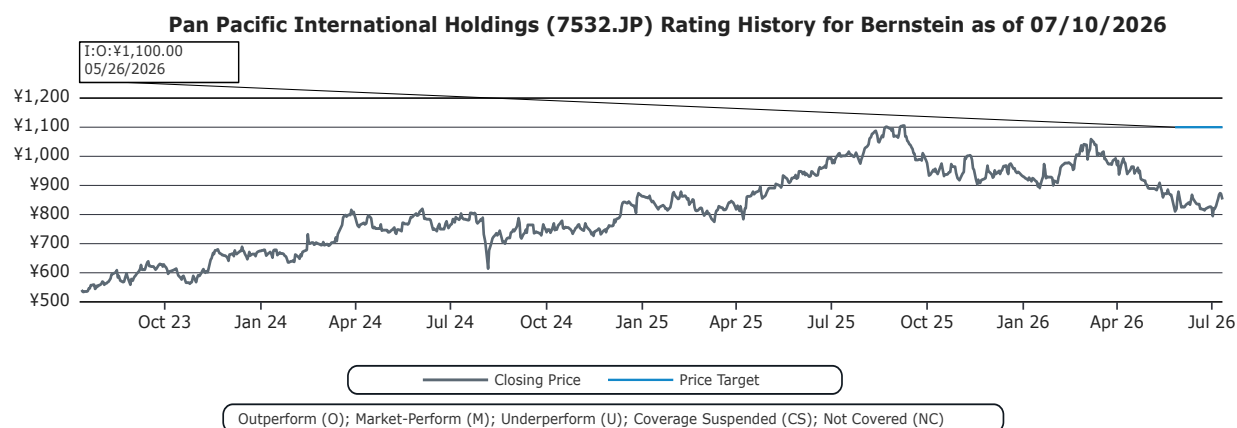
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